Nvidia scandal endangers US-China truce

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summary

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The Nvidia scandal has galvanized China hawks in Washington, and Jensen Huang's resignation as CEO removes the chip industry's most effective lobbyist against export control bills.
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Democrats preparing their congressional investigations will see the Nvidia scandal as an opportunity to criticize the Trump administration on its coziness with tech CEOs, its China policy, and corruption.
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A potential meeting between presidents Donald Trump, Xi Jinping, and Vladimir Putin, though short on substance, would be the highlight of the APEC summit.
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US tariff levels on Mexico will hold despite Trump’s migration-linked threats as President Claudia Sheinbaum relies on diplomacy and enforcement to contain the dispute.
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Countries and sectors in this edition of the Daily Brief include the US, China, India, Japan, Mexico, Russia, aerospace & defense, geoeconomics, geo-technology, healthcare, and trade.

announcements

Even during the recent communication outage, EG's analysis is available in our portal and our app for iOS and Android .

the top line

China, US—Nvidia scandal will threaten US-China truce in 2027

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The Nvidia scandal has galvanized China hawks in Washington, and Huang's resignation as CEO removes the chip industry's most effective lobbyist against the export control bills now riding on the National Defense Authorization Act (NDAA).

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Beijing will use the APEC summit in Shenzhen and the G20 summit in Florida to press Trump on its red lines over the bills, and it will likely hold off on retaliation until the US enforces new controls.

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We still expect Trump and Xi to extend the Busan truce past 10 January, but if new controls take effect, the risk that the agreement will unravel in 2027 will rise, with any Commerce rule on remote access to offshore compute potentially the main flashpoint.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

US, Geo-technology—Nvidia scandal will reverberate in Washington even after Huang's departure

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Huang's resignation won't solve Nvidia's political problems in Washington. The scandal substantially increases the odds that a package of export control bills will make it through the NDAA process in December.

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Democrats preparing their congressional investigations will see this as an opportunity to criticize the Trump administration on at least three angles: coziness to tech CEOs, China policy, and corruption.

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With the scandal likely to metastasize, administration figures—particularly at the Department of Commerce, including Secretary Howard Lutnick and Bureau of Industry and Security head Michael Kessler—will probably be drawn into its orbit, potentially endangering their positions.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

China, US, Russia, Japan—Xi, Trump, and Putin will overshadow a low-stakes APEC

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Xi will likely meet with Trump and Putin on the sidelines of the APEC summit, possibly in a trilateral format. Deliverables from the summit are otherwise expected to be modest.

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A China-Russia-US summit would be short on substance. Both Moscow and Washington are interested in a trilateral, although questions remain over format and agenda. Beijing prefers a more limited, scripted engagement, while Trump is pushing to discuss arms control, a topic that China is extremely reluctant to negotiate until it can reduce its quantitative disadvantage compared to the US.

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There will be no breakthrough in China-Japan relations. Xi will continue to give Prime Minister Takaichi Sanae the cold shoulder. China has given no indication that it will soften its broader pressure campaign against Japan.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

Mexico, US, Trade—Tariff levels will hold despite Trump's migration-linked threats

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Trump threatened to double tariffs on Mexico unless Sheinbaum stops a migrant caravan of roughly 1,500 people moving north from Tapachula. The caravan's relatively small size and the Sheinbaum administration's ongoing enforcement make it less likely that Trump will carry out the threat in the near term.

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Sheinbaum will avoid a forceful public response. Instead, she will rely on diplomatic channels and migration enforcement to contain the dispute. She has repeatedly emphasized cooperation with the US while trying to keep migration and security tensions from spilling into the broader trade relationship.

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Tensions will nevertheless remain elevated as Trump refocuses on Mexico and the broader region in the second half of his term. White House Chief of Staff Stephen Miller will push to keep migration, security, and trade closely linked as pressure points, an approach that will increase the risk of recurring tariff threats even when Washington stops short of carrying them out.

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Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Geoeconomics, Geo-technology—Claude Fable 5.2 widens US lead over Chinese AI labs to largest since 2024

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Anthropic's Claude Fable 5.2, released 9 November, scores 173.4 on Epoch AI's Capabilities Index, widening the US lead over China's best model to its widest since December 2024.

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A Democratic Congress will push tougher export controls as the Nvidia scandal weakens the company's ability to slow them (see analysis above).

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Friday Insights—The rising cost of chokepoints and fragmentation

Friday Insights is our weekly digest of research insights on the intersection of politics, macro, and markets. Research suggests a chokepoint event that once produced a temporary headline spike could now trigger a prolonged monetary tightening cycle.

1.

Oil shocks now pass through to core inflation (The Effect of Oil Prices on Core Inflation): Since the pandemic, pass-through from oil prices to core inflation has gone from effectively zero to statistically significant. Higher oil prices could push advanced-economy core inflation to nearly 2.8% by mid-2027 from 2.2% in Q2/2026 (see chart below).

2.

Chokepoint shocks hit output harder (Chokepoint disruptions and their macroeconomic consequences): Disruptions at key nodes are associated with a 50% larger decline in global industrial production growth than equally large ones elsewhere. With oil inventories low and transit through the Strait of Hormuz volatile, the risk of sharper price increases has risen.

3.

Fragmentation drives up public debt (Divide and Indebt): Across 90 economies, a one standard deviation increase in geoeconomic fragmentation raises public debt by up to 3ppts of GDP in the

medium term. Effects are larger in advanced economies.
4.
Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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16 November 11:45 AM ET—Brazil update. Register here .
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17 November 10:00 AM ET—Cameroon: Navigating political and economic crossroads. Register here .
*
19 November 9:30 AM ET—Brazil update: A conversation on the tax reform with Bernard Appy. Register here .

eg in brief

US, Healthcare—Democrats will struggle to deliver on healthcare agenda under Trump: Healthcare costs were a major part of voters' broader cost-of-living concerns, and Democrats' message on the issue appears to have resonated, contributing to the party's gains. However, Democrats will struggle to deliver on many of their affordability promises during the rest of Trump's term. Most meaningful policy changes will likely have to wait until either party secures a governing trifecta in 2029. In the meantime, Democrats' clearest opportunity for action will likely be to limit further welfare cuts and protect Affordable Care Act coverage. Read more here . Reach out to discuss: healthcare@eurasiagroup.net .

India, Aerospace & Defense—Corvette contract continues naval build-up: The government government has contracted two domestic shipyards to build eight next-generation corvettes in a deal worth $5.7 billion. The contract marks a win for the government's initiative to promote private defense firms, especially as an Indian start-up will provide the propulsion for the ships. The corvette acquisition is part of India's naval build-up to safeguard its maritime trade and supply chains and to deter China. With more than 40 warships under construction, the Indian Navy, which currently operates about 140 vessels, is on track to meet its goal of 155-160 warships by 2030. India is also expected to finalize a pending $8 billion deal to buy six German Type 214 diesel-electric submarines when Prime Minister Narendra Modi travels to Europe in mid-December. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Upcoming events:

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13 November: Data: US PPI.
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15 November: Events: ASEAN Summit begins in Manila, through 17 November.
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16 November: Data: China retail sales and industrial production, and Japan GDP.
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17 November: Events: Nvidia earnings; Data: UK unemployment and US retail sales; Central bank decision: Hungary.

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18 November: Events: APEC leaders' meeting begins in Shenzhen, through 19 November, and Anthropic expected to price its IPO; Data: Eurozone and UK CPI, and US FOMC minutes; Central bank decisions: Ghana, Iceland, and Indonesia.

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19 November: Events: Coalition of the willing meets on Ukraine, and Walmart and Alibaba earnings; Central bank decision: South Africa.

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20 November: Events: EU-UK summit in Brussels; Data: Japan CPI; Central bank decision: Sri Lanka.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"The two illicit affairs we're interested in are the ones between Nvidia and Donald Trump and Donald Trump and China."—Rep. Jamie Raskin (D-MD), likely future chair of the House Judiciary Committee, said on Thursday.

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